



MGT 111 MOST IMPORTANT **QUESTIONS FOR FINAL TERM 2024**

Q1. Steps in planning process

Planning Process:

There are eight steps in planning process:

1. Recognizing the need for planning
2. Determining the objectives
3. Forecasting the future
4. Determining alternatives
5. Evaluating Alternatives
6. Selecting a course of action
7. Implementing the plan
8. Revising the plan

Q2. Principles of plans

Three principles of plans:

There are three principles of the plan. These are:

1. Time horizon: There are long term and short-term plans.
2. Commitment Principle: The key to choosing right planning periods seems to be in commitment principle logical planning encompasses a future period of time necessary to fulfil series of action the commitment in decisions made today
3. Coordination of short term and long-term plans: Often short-term plans are made without reference to long-range plans. There is a need to integrate the short- and long-term plans.

Q3. Functions of planning commission

Following are the major functions of Planning Commission:

1. To prepare comprehensive national plan for socio-economic development of the country
2. To formulate within the framework of national plan, of annual plan and annual development
3. programme projects and programmes of national development.
4. 3. Monitoring the implementation of all major development projects and programmes (which
5. are above Rs. 40 million)
6. 4. Continuous evaluation of economic situation and coordination of economic policies
7. 5. Examination and technical appraisal of development projects received from Federal
8. Ministries and Provincial Government for consideration of Central development working
9. Party (CDWP)/ Executive Committee of National Economic Council (ECNEC)

Q4. Process of project completion

Process of Project Completion:

A project follows a sequential process of “beginning” and ending which is as follows:

1. Projects Identification
2. Project study (feasibility)
3. Project Preparation
4. Project Appraisal
5. Project Approval
6. Project Implementation and Monitoring
7. Project Evaluation

Q5. Functions of Planning & Development department

The functions of P & D are as follows:

1. To prepare Annual Development Programme in coordination with other departments
2. To prepare Five Year and other development plans
3. To clear Schemes to be sent to ECNEC/CDWP
4. To coordinate External Capital Assistance

Q6. Steps in rational decision making

Steps in Rational Decision Making:

1. Search for alternatives: Given that we know our objectives, the first step in decision making is to search for alternatives. Search for alternatives is based on the concept of 'limiting' factor. The principle of the limiting factor' is to recognize and overcome factors that stand critically in the way of goals; the best course of action can be selected.
2. Evaluation of Alternatives: the next step in decision making is to evaluate and select one that contributes best to the goals.

Q7. Types of decision

Types of Decision

It would be better to know the types of decision that organizations usually take. These are:

1. Programmed
2. non-Programmed

1. Programmed
A programmed decision is structured or repetitive or routine decision. Example: Reordering of standard inventory item, checking at a check post

2. non-Programmed

Non-programmed decisions are used for unstructured, novel and ill-defined situations of non

recurring nature. Example: introduction of new product in the market,

Q8. Approaches of decision making

Approaches to Decision making:

A number of modern techniques are used to improve the quality of decision making under normal conditions of uncertainty. The most important are:

1. Risk Analysis

2. Decision tree

3. Preference theory

1. Risk Analysis: An intelligent decision maker would like to know the size of risk they are taking in deciding to choose a course of action.

2. Decision Tree: A decision tree approach makes it possible to see major alternatives and the subsequent decisions may depend on events in future

3. Preference or utility theory explains individual attitude toward risk. Some people are willing to take small risk (risk averters), others are willing to take greater risk (gambler)

Q9. Factors that influence in decision making

Factors Affecting Decision-Making Process

Following are some of the factors that influence decision making:

1. Personal Differences: People have different personality, experiences and perception and that influences their decision making.

2. Role of Knowledge: The knowledge of people varies, therefore, individual managers will make decision on the amount of knowledge they possess.

3. Institutional Factors: Institutional factors such as organization structure, procedure and system affect decision making.

Q10. Types of resources

The most important resource of any organization is the human resource. All organizations have three important resources. These are:

1. Material
2. Capital
3. Human

Q11. Components of human resource management

It has following components:

1. Planning for future needs: The organization must decide how many people it will need in the future.

What kind of skills those people will possess. In other words organization should be able to forecast its future human requirements for planning for its future needs.

2. Planning for future balance: organization should be able to determine the future balance of its human resource. It has to see how many people will retire or the likelihood of people leaving the organization. HRM should compare the number of employees needed to the number of present employees who can be expected to stay with the organization, which leads to

3. Planning for recruiting or laying off employees: This will determine how many employees will be recruited and how many will be laid off.

4. Planning for the development of employees, Once new employees are recruited there need to train these

employees for the jobs in organizations.

Q12. Types of description

Job description: A written description of a non-management job, covering title, duties, and responsibilities, and including its location on the organization chart.

2. Position description: A written description of a management position, covering title, duties, and responsibilities, and including its location on the organization chart.

3. Hiring specification

: A written description of the education, experience, and skills needed to

perform a job or fill a position effectively

Q13. Steps in selection

Steps in the Selection Process

The standard hiring sequence is the seven-step procedure described below:

1. Completed job Application: It is the first and important step as without completed job application which contains all information about the applicant the selection process cannot be initiated.

2. Initial screening interview: After the application is completed initial interviews are held to screen out those candidates that do not meet the job specification requirement.

3. Testing: The selected candidates in the initial screening interview are given test by some organizations.

4. Background investigation: In case the candidates clear the test, then the organization would

like to know about the back ground of the candidate. In organizations that deal with sensitive services like military and intelligence require background investigation.

5. In-depth selection interview: After the clearance of background investigations, then in depth final interview is held.

6. Medical examination: The selected candidates are then required medical examination.

7. Job offer: And finally the job offer is made.

Q14. Characteristics of performance appraisal

Following are the characteristics of the Performance Appraisal:

1. Agreed Objectives related to the assigned job/standard (job and position description)
2. Time period
3. Skills required to achieve objectives
4. Check that objectives are achieved or not
5. Inform the employee if the objectives were achieved or not
6. If not achieved why these were not achieved
7. If achieved, reward and motivate

Q15. Types of appraisals

Types of Appraisals

There are mainly two types of appraisals in the organization.

Which are:

1. Formal Appraisal
 2. Informal Appraisal
1. Formal Appraisals

Formal systematic appraisal usually occurs semi-annually or annually. Formal appraisal has four major purposes:

1. To let employees know formally how their current performance is being rated;
2. To identify employees who deserve merit raises;
3. To locate employees who need additional training; and
4. To identify candidates for promotion

Informal Appraisals

2. Informal appraisal is a day-to-day routine appraisal, when managers meet their subordinate almost

Daily. In this process they use following methods:

1. Observe
2. Communicate
3. Check work
4. Give immediate feedback

Q16. Four C's model

Competence. How competent are employees in their work? Do they need additional training?

Performance evaluations by managers can help determine what talent is available. To what extent do HRM policies attract, keep and develop employees with skills and knowledge needed now and in the future?

2. Commitment. How committed are employees to their work and organization? Surveys can be conducted through interviews and questionnaires to find answers to this question.

3. Congruence. Is there agreement, between the basic philosophy and goals of the organization

and its employees? Is there trust and common purpose between managers and employees? Incongruence can be detected in the frequency of strikes, conflicts between managers and subordinates, and grievances. A low level of congruence results in low levels of trust.

4. Cost effectiveness. Are HRM policies cost-effective in terms of wages? benefits, turnovers, absenteeism, strikes, and similar factors

Q17. Objects of performance evaluation report (PER)

Main Objectives of PER

Following are the main objectives of Performance Evaluation Report:

- It provides authentic record of the civil servant: An objectively written PER keeps good records of performance of civil servant.
- It is important for selection to new appointments: An objectively well written report provides basis for promotion to next higher position. It can also be the basis for lay-off.
- It envelops the other useful information about the individual like aptitude: The PER gives other useful information like the interests of employees, aptitude etc.

Q18. Types of control

These are:

1. External control
2. Internal control

The external controls are:

- Legislative Control is the control by the legislature.

- **Public Opinion:** It is the opinion of public expressed through media.
 - **The Judiciary:** It is the control exercised by the judiciary.
- The internal controls are exercised by the following methods:
- **The Service Tribunals:** This Tribunal admits grievances of civil servants.
 - **Conduct Rules:** The conduct Rules delineate the behaviour and actions of civil servants.
 - **Efficiency and Discipline Rules:** These rules make civil servants action in office to be questioned and scrutinized.
 - **The Hierarchy:** At each level the actions of manager are supervised and monitored; because hierarchy itself is a mechanism of control.
 - **The Mohtasib:** The actions of civil servants that may cause harm to citizens are brought before the Mohtasib who hears the grievances of citizens and decides whether the action of civil servant was correct or otherwise.

Q19. Components of public finance

Following are the main components of public finance:

(1) **Public revenue:** sources of government income are:

- a. Taxation and its effect on economy
- b. Non-tax revenues such as fee, fines, grants, interest receipt etc.
- c. Public debt problems: public debt is a source of income

(2) **Public Expenditure:** through public expenditure government participates and contributes to

the financial flows of the economy. It is also a tool for implementing welfare and other

policies. The expenditure that government makes affects the economics because government

expenditure is inflow to the economy.

(3) Financial Administration: It involves issues of financial administration including public budget, its approval, financial implementation, control systems and audit. Without the study of financial administration the subject of public finance remains incomplete.

(4) Federal finance: It studies the multilayer (the 3 levels of government) system of government which necessitates a division of function and resources between the layers of government and inter-governmental relations. We will deal with each of these areas separately.

Q20. Principles of taxation

Adam Smith the economist who wrote Wealth of Nation in 1776 said that a good tax has following four principles:

1. A good tax should be equal: an individual should be called upon to pay tax according to his/her ability to pay tax. This is called progressive taxation, where the rich pay the higher percentage of taxation then poor;
2. A good tax should be certain: people are certain about how the tax works and how much has to be paid as well as when to pay;
3. A good tax should be convenient: People should be able to pay without any inconvenience.

The Pay as You Earn (PAYE) system of income tax complies with this principles and

4. A good tax should be economical: the cost of collecting and administering should not exceed

revenues

Q21. Types of taxation

Following are the types of taxation:

1. Direct Taxes

- ☐ Income Tax
- ☐ Wealth Tax
- ☐ Workers Welfare Tax
- ☐ Capital tax

2. Indirect Taxes

- ☐ Custom Duty
- ☐ Sales tax
- ☐ Excise Duty

3. Non- tax Revenue

- ☐ Income from Property and Enterprise
- ☐ Profit from Railways
- ☐ Profit from PTCL
- ☐ Profit from Post office
- ☐ Miscellaneous: Foreign travel, passport fee, airport tax, sale proceed on oil and tax etc.

The government of Pakistan levies all the above type of taxes.

Q22. Types of public budget

The forms and types of budget are:

1. Performance Budgeting
2. Planning-Programming-Budgeting (PPB)
3. Zero-Base Budgeting (ZBB)

4. Incremental Budget

Q23. Criteria of resource distribution

1. Criteria of Vertical Resource Distribution

From the Divisible Pool the resources are shared between Federation and provinces. This is called Vertical resource distribution. It is distribution of resources from the federal government to the provincial governments from the divisible pool. It is based on three factors: defence, debt servicing and social action programme.

2. Criteria of Horizontal Resource Distribution

Horizontal resource distribution is distribution of the 37.55% amongst the provinces. The criteria used are 'Population'. The use of these criteria is debateable and there is general lack of agreement on these criteria

3. Multiple Criteria

Since the criteria used in horizontal distribution is population. Balochistan, NWFP and Sindh disagree to the criteria. Because according to them Punjab has largest population. Therefore, it gets maximum advantage from these criteria. Accordingly it is suggested that multiple criteria should be used.

The multiple criteria are:

- Population
- Distance of per capita income
- Area
- Index of infrastructure
- Tax effort

Countries that have federal structure use multiple criteria.

Q24. Types of power

There are various types of power that managers use in the organization.

These are:

- ☐ Legitimate Power
- ☐ Reward/Punish Power
- ☐ Expert Power
- ☐ Referent Power

Q25. Traits

Following are some of the traits that leaders possess:

1. Confidence.
2. Sense of direction (clear goals)
3. Human insight
4. Discipline
5. clarity of tasks
6. Consistency
7. Hard work
8. Motivate
9. Good communication skills
10. Integrity
11. Honesty

Q26. Components of expectancy theory

There are four assumptions about behaviour in organizations on which the expectancy approach is based. These assumptions are:

1. Behavior is determined by a combination of factors in the individual and factors in the environment. Individual's behaviour is not simple. It is complex as many factors are affecting person.

2 Individuals make conscious decisions about their behavior in the organization. Individuals know how they have to behave in organization because they can judge their actions and response.

3. Individuals have different needs, desires, and goals.

4. Individuals decide between alternative behaviors on the basis of their expectations that a given behavior will lead to a desired outcome. For example individuals know that if they disobey or do not comply they will be fired from the job.

Q27. Leadership functions and styles

The functions of leader in organization are:

1. Task-related or problem-solving functions
2. Group-maintenance or social functions

Leadership Styles

Q28. task-oriented style

Q29. employee-oriented style

Q30. Characteristics of team

The first step in learning to manage teams effectively is to become aware of their characteristics- that is, the way they develop leadership roles, norms, and cohesiveness.

Q31. Stages of team development

These teams usually have the following characteristics:

- The team has responsibility for a “relatively whole task.”
- Each Team members possess a variety of task-related skills.
- The team has the power to determine such things as work methods, scheduling, and assignment of members to different tasks.

- The performance of the group as a whole is the basis for compensation and feedback.

Q32. Functions of district Magistrate

Functions

1. Executive
2. Judicial
3. Revenue
4. Coordinative functions

Q33. Guidelines for negotiation

Guidelines for Negotiations

For negotiations to be successful managers must keep in view the following:

1. Have a set of clear objectives on every bargaining item;
2. Do not hurry;
3. Be well prepared with data;
4. Maintain flexibility in your position;
5. Be a good listener

Q34. Obligatory and discretionary functions

Obligatory Functions

Each level of government performs its own functions, that local government must perform

Some of these functions are:

1. Supply of wholesome water
2. Construction and maintenance of public streets
3. Lighting and watering public streets
4. Regulation trades
5. Maintenance and support of public hospitals
6. Establishing and maintenances of primary schools
7. Registration of births and death
8. Naming streets and numbering houses

Discretionary Functions

There are functions that local government may or may not perform. These are called discretionary function. Some of the discretionary functions are:-

1. Security or removing dangerous building or places
2. Housing for low income groups
3. Promotion of welfare of municipal employees
4. Provision of transport facilities

Q35. Aim of devolution plan

These are:

1. To introduced new blood into a political system considered to be the domain of historically entrenched interests. It was felt that the old and conventional political leaders discouraged young politicians to participate in election.
2. To provide positive measures for marginalized citizens which include women, workers, peasants-to have access to politics; and
3. To improve service delivery of social services in particular. It was argued that if local governments, appropriately empowered, staffed and resourced, would deliver better primary health, education and municipal services like water and sanitation. A second service-delivery objective was to improve the laws about property, labour rights and economic activities were determined and enforced. Thus, local governments were given responsibilities to regulate and administer laws on land, labour natural resources.
4. The devolution also aimed to facilitate access to justice. The belief that performance of local

administration, courts and police would improve basic human rights.

Q36. Responsibilities of local govt

Following are responsibilities of local government:

1. Elementary and secondary education,
2. Primary and secondary health,
3. Agriculture and intra-district roads.
4. Towns and tehsils have been assigned municipal service responsibilities-including local roads and streets, water supply systems and sewers and sanitation.
5. Although union administrations have not been assigned any major service-delivery responsibilities, they are responsible for small-scale development projects

Q37. Weaknesses and strengths of local govt system

Some of the weaknesses of the local government system are:

1. An attempt to undermine provincial autonomy. The provinces now have to systematically evolve mechanism to share resources. Also prior to this system, provinces were autonomous and had centralized system. People from remote areas in the provinces had no access to provincial headquarters.
2. Violation of a fundamental structure of constitution. The Constitution does not provide local government structure.
3. Resistance of bureaucracy against system. The power of bureaucracy has weakness and at the district level DCO is answerable to elected nazim.

4. Role of members of legislative assembly. The members of legislature have greater role in the development of the area and more answerable to people.

Some of the strengths of the system are:

1. Unleashed horse of bureaucracy has been bridled. The office of DC has been now brought under the control of elected representative.
2. Elimination of urban-rural division. Attempt has been made to reduce the gap between urban and rural areas.
3. Formula - based division of financial resources. The PFC now has to share resources under a formula, which is logical and appropriate.
4. Grass root organizations. The local government system has established grass root organizations like citizen community board to oversee the working of government organization.
5. Enhanced representation of women.
6. Political linkage.
7. Autonomy of local Representatives

Q38. Reasons for reforms

The more particular reasons for reforms were:

1. Government in developed countries experienced severe resource constraints as tax revenues declined. Politically it was felt the services need not be reduced but rather more services be provided with lesser staff.
2. The reforms in public sector were brought by political leadership. This is because during late

70s and 80s there were more changes of government in Canada, Australia, new Zealand and the idea of change came from political leadership rather than public service itself.

3. There was link between improving public sector management and re-structuring the national economy. This is because during difficult economic time business community is asked to improve management. In this process the government also has to improve its management.

4. The size of government was becoming large and inefficient. During this time it was felt and expressed in developed countries that the size of government had become large due to which there was need to reduce it.

Q39. Critique on new management

The critique is as follows:

1. The Economic Basis of Managerialism
2. The Basis in Private Management
3. Neo-Taylorism
4. Politicisation
5. Reduced Accountability
6. Implementation
7. Unclear Specification

Q40. Important definitions:

- 1) **Motivation** a drive that moves individual to meet need and attain satisfaction
- 2) **Team** are defined as: two or more people who interact with and influence each other toward achievement of common purpose.
- 3) **Promotion**

Employees are promoted to next higher position when their performance is in accordance with standards laid down by the organizations, i.e. when employees achieve targets over a given period of time, for certain number of years.

4) Transfer

Employees are transferred for variety of reasons. When employee is promoted, they can be transferred because the higher level position may be available at some other places. Employees are transferred because the performance may not be satisfactory and organization cannot lay-off employee,. Employees may be transferred for personal reasons or they are transferred because of on –the-job training.

5) Demotion

Demotion is a kind of punishment. When employees have not performed according to the laid down standards, or show indiscipline or disobedience or negligence or irresponsibility etc. they may be demoted

6) Budget

Budget is a statement of expected results expressed in numerical terms. It is referred to as a 'numberized' plan. For private sector organization financial operating budget is called a 'profit plan'.

7) Audit

it is the examination of financial records of an organization after transactions have taken place at the end of financial year. It reviews whether the rules of accounts were applied or not

8) Performance appraisal evaluation or checking the work employees over a period of time.

9) Compensation is the monetary return given to employee for the work they do in a position/job in an organization.

10) Project is work undertaken to achieve goals in a given time period.

11) Efficiency

Efficiency is concerned with the relationship between goods and services produced (the outputs)

and the resources used to produce them (the inputs). An efficient entity produces the maximum output from any given set of inputs.

12) Effectiveness

Effectiveness is concerned with achieving predetermined objectives (specific planned

achievements) or goals and with actual impact (the output achieved) compared with the intended impact (the objectives)